

gain of Cycle wave V. If they had utilized data between 1966 and 1982, it might not have produced the same results or the same implication.

Yet another recent study claims to reveal that even the best market timing advisors are utterly worthless because they did not outperform the bull market in stocks from the bottom until today. The idea that a particular period of gain in a retrospectively chosen market is some kind of yardstick of judgment on one's investment ability is transparently invalid. Real people have to make their decisions in current time, not in retrospect, and correctly choosing the best markets for investment with consistency is an extremely rare and valuable talent. The only valid benchmark against which to measure investment advice is against (1) a safe haven, such as a savings account or Treasury bills, or (2) the performance of people for whom the advice is designed and who do not take the advice. Advice that beats either of them is valuable advice. As for the latter benchmark, in the past fifteen years, the average investor was too timid to buy stocks until mid-1991. A study by market analyst James Bianco of Arbor Trading Group, using data from the Investment Co. Institute, reveals that 80% of all the money committed to stock mutual funds over the last 70 years has been committed in the last 5½ years. Figure 11-15 shows the commitment to stock funds at each Dow increment from January 1980 to the present. Of all mutual fund investors currently in the market, the average purchase price is Dow 3540, which was *after* a 378% gain from 1980 and which has yielded a gain to Dow 4300 of just 22%. But, wait. Investors have not owned the Dow, but *mutual funds*, which have lagged the Dow considerably since late 1993, as shown in Figure 9-9. Since Dow 3540, the average mutual fund is up less than 10%! *That* is how much the average investor made in stock market mutual funds in the entirety of Cycle wave V, which has gained well over 600%! Most seasoned market timers certainly beat that gain by a handy margin and helped their followers do it, too. What's more, most of them will keep their profits, while the average investor will give his small gain back, and much more. The bad news for the typical stock market investor is that his average purchase price is rising faster every month, thanks in part to the encouragement provided by the latest slew of studies from universities.

Unfortunately, academic studies do not stop at telling people what they should have done. By linearly extrapolating past trends and *then* publishing their conclusions, these studies, in some cases implicitly but often explicitly, advise people what they should do